CHAPTER C-08
CUSTOMER SERVICE

Chapter Introduction

In this chapter you will learn the importance of customer service. You will learn the role of agents in providing service to customers. You will also learn how to communicate and relate with customers.

Learning Outcomes

A. Customer service – General concepts

B. Insurance Agent's role in providing customer service

C. Communication skills in customer service

D. Non-verbal communication

E. Ethical behavior

After studying this chapter, you should be able to:

Understand the importance of customer service

1. Describe quality of service
2. Examine the importance of service in the insurance industry
3. Discuss the role of an insurance agent in providing good service
4. Explain the process of communication
5. Demonstrate the importance of non-verbal communication
6. Recommend ethical behaviour

A. Customer Service – General concepts

1. Why Customer Service?

Customers are the most important part of any industry and no enterprise can afford to treat them indifferently. The role of customer service and relationships is important in the service sector and more so for insurance.

Every enterprise has a goal to delight its customers. This can be explained by examining how buying insurance differs from buying a car.

A car can be seen, touched, test driven and experienced, whereas the Insurance of the car is just a promise to pay if there is loss or damage to the car due to an accident. This promise is intangible – it cannot be seen, touched or experienced.

While the customer of the car will be able to understand and experience the car easily, the customer of insurance can evaluate and experience the insurance protection that he buys only when a loss happens and the insurance company settles the claim. All customers do not get the chance to experience this. In insurance, when such a situation arises, if the service exceeds expectations, the customer would be delighted.

2. Quality of service

It is necessary for insurance companies and their personnel, which includes their agents, to render high quality service and delight the customer.

But what is high quality service? What are its attributes?

The well-known SERVQUAL approach to service quality of Zeithaml, Parasuraman and Berry highlights 5 major indicators of service quality:

a) **Reliability**: The ability to perform the promised service dependably and accurately is considered the most important indicator of good service. It is the foundation on which trust is built.

b) **Responsiveness**: Refers to the willingness and ability of service personnel to help customers and provide prompt response to the customer's needs. It may be measured by indicators like speed, accuracy, and attitude while giving the service.

c) **Assurance**: Refers to the knowledge, competence and courtesy displayed by an employee or agent in understanding and meeting the needs of a customer, thus conveying trust and confidence.

d) **Empathy**: Empathy is described as the human touch. It is reflected in the caring attitude and individualised attention provided to customers.

e) **Tangibles**: Represent physical environmental factors like location, layout and cleanliness as also the sense of professionalism that a customer feels when contacting a service provider. First impressions last long.

3. Customer service and insurance

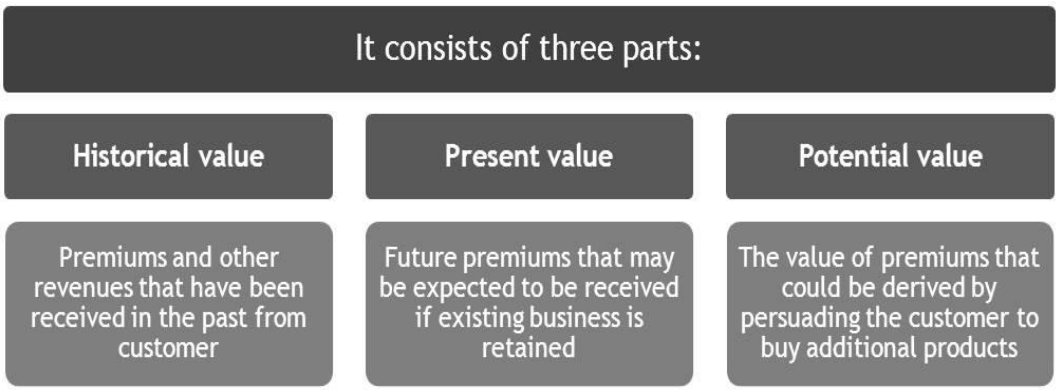
Leading sales producers in the insurance industry state that the secret of reaching the top and staying there is in getting the patronage and support of a large number of existing clients with whose help the business gets built. These clients are a source of commissions from renewal of existing contracts. These can be a valuable source for acquiring new customers.

One great mantra of success in insurance selling is to be able to convert one's customers into one's clients. Customers are those who buy a product. Clients, on the other hand are people with whom an agent relates for life, who continue to buy from him/ her as also help and possibly, support him/ her in reaching out to and selling to other customers.

Clients are built by working with deep commitment to serving one's customers. To understand how keeping a customer happy benefits the agent and the company, one should understand the concept of Customer's Lifetime Value.

Customer Lifetime Value may be defined as the sum of economic benefits that can be derived from building a sound relationship with a customer over a long period of time.

Diagram 1: Customer Lifetime Value



An agent who renders service and builds close relationships with her customers, builds goodwill and brand value, which helps in expanding the business.

Test Yourself 1

What is meant by customer lifetime value?

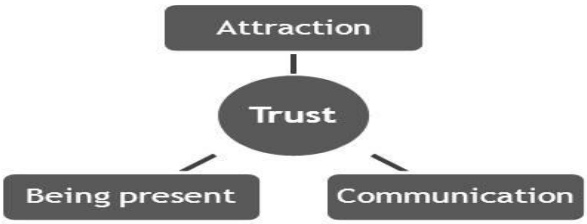
I. Sum of costs incurred while servicing the customer over his lifetime
II. Rank given to customer based on business generated
III. Sum of economic benefits that can be achieved by building a long term relationship with the customer
IV. Maximum insurance that can be attributed to the customer

4. Customer Relationships and Service

While customer service is a key element in creating satisfied and loyal customers, it is also necessary to build a strong relationship with them. A Customer's views about an insurer depends on the service and relationships experience the insurer offers.

What goes to make a healthy relationship? At its heart, of course, there is trust. At the same time, there are other elements, which reinforce and promote that trust. Let us illustrate some of the elements.

Diagram 2: Elements for Trust



i. Every relationship begins with **attraction**: Attraction means being liked and being able to build a rapport with the customer, starting with creating a great first impression. Attraction is regarded the key to unlocking every heart. Without it a relationship is hardly possible. A sales person cannot make much headway if he/ she is not liked by the customer.

ii. The second element of a relationship is one's presence, being there when needed

iii. **Communication:** Even if one is not fully present and unable to do full justice to all the expectations of one's customers, one can still **maintain a strong relationship by communicating in a manner that is assuring, full of empathy and conveying a sense of responsibility.**

The above dimensions of communication call for discipline and skills. They ultimately reflect how one thinks and sees.

Companies emphasise on customer relationship management, as the cost of retaining a customer is far lower than acquiring a new customer. A customer relation opportunity arises at various touch points e.g. while understanding customers insurance needs, explaining coverage's, handing over forms etc.

B. Insurance agent's role in providing customer service.

Let us now consider how an agent can render great service to the customer. It is important to realise that from the moment a customer gets contacted by a sales person to the final point of settlement of a claim, the customer goes on a journey of experience that we shall call the '**Customer Journey**'. The agent needs to partner with the customer through the entire duration of the contract, hand holding

him/ her in each step of the journey to create memorable experiences at every step.

Let us look at some milestones in the journey and the role played at each step.

1. The Sale

It is said that selling is both an art and a science. It is a science because it calls for a set process which, if consistently and properly followed, is likely to lead to success. It is also an art in the sense that each sales person brings his or her distinctive beliefs, style and personality into the process and the results depend on what each person puts into the process.

- **Prospecting:** The Sales Process begins with **Prospecting**, which literally means 'searching' for a prospective customer. Searching is important as '***One cannot find till one searches'***, it is the most important step in the process. An agent typically begins with his or her natural market, made up of known and easily approachable people. The challenge lies in getting across to more networks of people who are outside one's immediate circle – getting to know them and be known by them.

  All the people one knows and approaches may not be proper candidates for insurance or they may not be interested in buying. It is thus necessary to **qualify** them so that one targets only those who are likely to buy insurance. The prospecting process becomes successful only when an agent is able to build strong relationships with the prospect. The first task of any sales person is thus to **sell trust and build confidence.**

- ***Invite for an Interview:*** While personal relationships are the foundation on which insurance business is built, it is necessary to convert the goodwill one earns into a sale. This begins when the sales person sets up a formal appointment for a detailed sales interview. This step is critical for establishing one's professional credentials and also to separate business from casual discussions.

- ***Determining the needs and recommending the Solution:*** The heart of the Sales Interview is the steps wherein the sales agent determines and makes the prospective customer aware about the exact needs for which insurance is a solution. A master sales person is distinguished by his/ her skill in guiding a prospect, through asking gentle questions, to understand the gaps in protection that give rise to the needs for insurance.

The Agent has the responsibility to provide *Best Advice* to the Prospect about the right kind of insurance solutions to meet his/ her needs. Firstly one must determine and make the prospective customer aware about the exact needs for which insurance is a solution. This also includes giving proper advice on the amount of insurance to be purchased. For example the amount of life insurance to be

purchased by an individual needs to be linked to his/ her income and paying capacity.

It is also important to keep a basic percept in mind, especially when buying non-life insurance: Do not recommend insuring where the risk can be managed otherwise.

Whether insurance is needed or not, depends on the circumstances. If the premium payments are high compared to the loss involved, it may be advisable to just bear the risk. On the other hand, if the loss consequences of a risk are likely to be severe, it is wise to insure against it.

Example

To a homeowner living in a flood prone area, purchasing an add-on cover against floods would prove to be helpful. On the other hand, if the home owner owns a home at a place where the risk of floods is negligible it may not be necessary to obtain such cover.

Many customers may not be much concerned about getting maximum insurance per rupee spent, but would be interested in **reducing the cost of handling risk**. The concern would be thus on identifying those risks which a customer cannot retain and hence must be insured.

The agent becomes successful when he/ she renders best advice. The agent needs to constantly ask himself/ herself about his/ her role vis-à-vis the customer. He/ she should go to the customer not just to get a sale but to relate to the customer as a coach and partner who can help him/ her to manage his/ her risks more effectively?

- ***Handling Objections and Closing the Sale:*** It may not be enough to give best advice and recommendations to a customer about the right products to buy. One also needs to persuade him/ her to take the decision to buy. Quite often the customer may have a number of questions and may raise objections that need to be addressed before he/ she decides to commit to the purchase. Whilst handling these objections, it is vitally important to understand that the objections being voiced may reflect underlying concerns that need to be identified and resolved.

In sum, the role of an insurance agent is more than that of a mere sales person. He/ she also **needs to be a risk assessor, underwriter, risk management counsellor, designer of customised solutions and a relationship builder** (who thrives on building trust and long-term relationships), all rolled into one.

2. The Proposal stage

The agent has to support the customer in filling out the proposal for insurance. The insured is required to take responsibility for the statements made therein. The salient aspects of a proposal form have been discussed in a later chapter.

The agent should explain and clarify to the proposer the details to be filled as answers to each of the questions in the proposal form. A failure to give proper and complete information can jeopardise the customer's claim.

Sometimes, if additional information is required to complete the policy, the company may inform the customer directly or through the agent/ advisor. The agent should help the customer in completing such formalities, explaining why they are necessary.

IRDAI (Issuance of e-Insurance Policies) Regulations, 2016, provide for e – Proposal forms that are similar to the physical proposal form and having a provision to the Prospect to give his consent to the proposal, which can be validated by one time password (mobile phone OTP).

3. Acceptance stage

a) Cover notes/ Certificates of Insurance

After underwriting is completed it may take some time before the policy is issued. Pending the preparation of the policy or when the negotiations for insurance are in progress and it is necessary to provide cover on a provisional basis or when the premises are being inspected for determining the actual rate applicable, a cover note is issued to confirm protection under the policy.

As Cover notes and Certificates of Insurance are used predominantly in marine and motor classes of business, cover note is discussed in detail under the General Insurance Section.

It is the agent's responsibility to ensure that the cover note is issued by the company, where applicable, to the insured. Promptness in this regard communicates to the client that his/ her interests are safe in the hands of the agent and the company.

b) Policy Document

The policy is a formal document which provides an evidence of the contract of insurance. This document has to be stamped in accordance with the provisions of the Indian Stamp Act, 1899. The insurer is duty bound to give the policy document to the insured.

4. Premium Payment

Premium is the consideration or amount paid by the insured to the insurer for insuring the subject matter of insurance, under a contract of insurance.

A good agent takes active interest in ensuring that the insured pays the premium for taking or continuing or renewing his policy and the customer is made aware of various options available for payment of premium.

5. Method of payment of premium

The premium to be paid by any person proposing to take an insurance policy or by the policyholder to an insurer may be made in any one or more of the following methods:

a) Cash

b) Any recognised banking negotiable instrument such as cheques, demand drafts, pay order, banker's cheques drawn on any schedule bank in India;

c) Postal money order;

d) Credit or debit cards;

e) Bank guarantee or cash deposit;

f) Internet;

g) E-transfer

h) Direct credits via standing instruction of proposer or the policyholder or the life insured through bank transfers;

i) Any other method or payment as may be approved by the Authority from time to time;

As per IRDA Regulations, in case the proposer/ policyholder opts for premium payment through net banking or credit/ debit card, the payment must be made only through net banking account or credit/ debit card issued on the name of such proposer/ policyholder.

6. Service after issuance of Policy Document and Receipt for Premium

Once the premium is paid by the customer, the insurer is bound to issue a receipt. A receipt is also to be issued even in case the premium is paid in advance.

The agent may approach the insured and enquire whether the Policy Document has been received from the insurance company. It presents a great opportunity for the agent to connect with the customer. The agent will be able to clear any doubts and also explain the various policy provisions and policy holders' rights and privileges. This demonstrates commitment to the customer and provides an opportunity to pledge continued support and service. One should also inform the customer about the free-look period provision, during which period, the policy can be returned and refund of premium obtained.

If the policy being purchased is an Electronic insurance policy, the agent can help the Customer to open an e-Insurance Account (e-I-A), through the Registered Insurance Repository.

This also paves the way for the next step which is to ask the customer for the names and particulars of other individuals he/ she knows, who can possibly benefit from the agent's services. It would be even better if the client itself contacted these people and introduced the agent to them.

7. Policy Renewal

Most general Insurance policies have to be renewed each year. For general insurance policies, at the time of each renewal, the customer has a choice to continue insuring with the same company or switch to another company. In case of Life Insurance, a policy would continue to be in force when the customer pays the premium at regular intervals based on premium payment term. This does not apply to one-time payments.

General Insurers usually send a Renewal Notice, well in advance of the date of expiry of the premium paying period, inviting renewal of the policy.

The customer's choice to renew or continue with the policy may often depend on the trust and goodwill created by the agent and company and the agent needs to be in touch to remind the customer about the renewal or continuity of policy well before the due date.

High producer agents constantly keep in touch with their clients, and win their trust and loyalty through various acts of service and relationships – like greeting their clients on various occasions like festivals or family events and being with them to share their joys and sorrows.

8. The claim stage

The crucial test comes at the time of claim settlement. The agent must ensure that the incident giving rise to the claim is immediately informed to the insurer and that the customer carefully follows all the formalities. The agent may also assist in all the investigations that may need to be done to assess the loss. A good agent assists the customers or his representatives in fulfilling the claim lodgement formalities quickly, correctly and completely.

Test Yourself 2

Identify the scenario where a debate on the need for insurance is not required.

I. Property insurance
II. Business liability insurance
III. Motor insurance for third party liability
IV. Fire insurance

C. Communication skills in customer service

An agent needs to possess soft skills for effective performance in the work place.

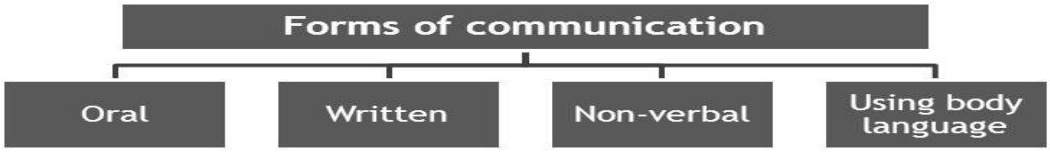
Soft skills relate to one's ability to interact effectively with others, both at work and outside. Communication skills are the most important of these soft skills.

1. Process of communication

What is communication?

All communications require a sender, who sends a message, and a person who received that message. The process is complete once the receiver has understood the message of the sender.

Diagram 3: Forms of communication



Communication may be face to face, over the phone, or by mail or internet. It may be formal or informal. Whatever the content or form of the message or the media used, the effectiveness of communication depends on whether or not the recipient has understood what was sought to be communicated.

Since an insurance policy is essentially a promise, it is important that what is promised by the insurer is clearly understood by the insured. The agent as an intermediary has to not only provide complete, accurate and unambiguous account of the terms of the insurance to the customer, but also seek and clarify doubts or queries that a customer may have.

2. Barriers to effective communication

Different kinds of barriers to effective communication can arise at each step in the above process, due to which communication can get distorted. The challenge is to visualize, understand and remove the barriers.

Test Yourself 3

What does not go on to make a healthy relationship?

I. Attraction
II. Trust
III. Communication
IV. Dislike

D. Non-verbal Communication

Let us now look at some concepts that the agent needs to understand.

Important

1. Making a great first impression

The prospect judges an agent based on his appearance, body language, mannerisms, dress and speech. As attraction is the first pillar of a relationship and first impressions last long, some tips for making a good first impression are given below:

i. **Be on time always**. Plan to arrive a few minutes early, allowing flexibility for all kinds of possible delays.

ii. **Present yourself appropriately**.

- ✓ The appearance should to create the right first impression
- ✓ The dress must be appropriate for the meeting or occasion
- ✓ The look must be clean and tidy – with good haircut and shave, clean and tidy clothes, neat and tidy make up

iii. **A warm, confident and winning smile** puts a person and his/ her audience immediately at ease with one another.

iv. **Being open, confident and positive**

- ✓ body language must project confidence and self-assurance
- ✓ stand tall, smile, make eye contact, greet with a firm handshake
- ✓ remain positive even in the face of some criticism or when the meeting is not going as well as expected

v. **Interest in the other person** - The most important thing is about being genuinely interested in the other person.

- ✓ Take some time to find out about the customer as a person
- ✓ Be caring and attentive to what he or she says
- ✓ Be totally present and available to your customer
- ✓ Not engaging in one's mobile phone during the interview?

2. Body language

Body language refers to movements, gestures, facial expressions. The way we talk, walk, sit and stand, all says something about us, and what is happening inside us.

It is often said that people listen to only a small percentage of what is actually said. What we don't say may speak a lot more about us in a louder way. Obviously, one needs to be very careful about one's body language.

a) Confidence

Here are a few tips about how to appear confident and self-assured, giving the impression of someone to be seriously listened to:

- ✓ Posture – standing tall with shoulders held back.
- ✓ Solid eye contact - with a "smiling" face
- ✓ Purposeful and deliberate gestures

b) Trust

- ✓ Quite often, a sales person's words fall on deaf ears because the audience does not trust him/ her – his/ her body language does not give the assurance that he/ she is sincere about what he/ she says

3. Listening skills

The third set of communication skills that one needs to be aware about and cultivate are listening skills. These follow from a well-known principle of personal effectiveness – 'first try to understand before being understood'.

Active listening calls for:

- ✓ Allowing the speaker to finish each point before asking questions
- ✓ Not interrupting the speaker with any counter arguments
- ✓ This may require that we reflect on the message and ask questions to clarify what was said
- ✓ Another way to provide feedback is to summarize the speaker's words and repeat it back to him or her periodically or at the end of the conversation.

Let us look at the skills required for active listening:

a) Demonstrating that one is listening:

- ✓ For instance one may:
- ✓ Give an occasional nod and smile
- ✓ Adopt a posture that is open and draws out the other to speak freely
- ✓ Have small verbal comments like "I understand", "I see", "yes" and "uh".

b) Paying attention

One needs to give the speaker one's undivided attention, and acknowledge him. Some aspects of paying attention are as follows:

Look at the speaker directly

- ✓ Put aside distracting thoughts
- ✓ Don't mentally prepare a rebuttal

- ✓ Avoid all external distractions [for instance, keep your mobile on silent mode]
- ✓ "Listen" to the speaker's body language

c) Removing filters:

A lot of what we hear may get distorted by one's personal filters, like the assumptions, judgments, and beliefs one carries.

Not being judgemental: If the listener is judgemental, even if he hears what the speaker is saying, he will understand only according to his biased interpretation.

d) Empathetic listening:

Empathy implies hearing and listening patiently, and with full attention, to what the other person has to say, even when one does not agree with it. It is important to show the speaker acceptance, not necessarily agreement.

e) Responding appropriately:

Active listening implies much more than just hearing what a speaker says. The communication can be completed only when the listener responds in some way, through word or action. Certain rules need to be followed for ensuring that the speaker is not put down but treated with respect.

These include:

- ✓ Being candid, open, and honest in your response
- ✓ Asserting one's opinions respectfully
- ✓ Treating another person in a way, one would like oneself to be treated

Example

Asking for clarity – "I realize that we have not been able to clear about the benefits of some of our health plans. Could you help us by asking us your doubts?"

Paraphrasing the speaker's exact words – "So, you are saying that 'our health plans are not attractive enough' – Have I understood you correctly?"

Test Yourself 4

Which among the following is not an element of active listening?

I. Paying good attention
II. Being extremely judgemental
III. Empathetic listening
IV. Responding appropriately

E. Ethical Behavior

In recent years, there are many reports of improper conduct, and serious concerns have been raised about ethical behaviour in business causing betrayal of trust.

This has led to discussions about concepts like accountability, corporate governance, and treating customers fairly in insurance, which form part of "Ethics" in business.

It is not wrong to look after one's interests. But it is wrong to do so at the cost of the interests of others. Unethical behaviour arises when there is no concern for others and there is high concern for oneself.

Insurance is a business of trust. Breach of trust amounts to cheating. When wrong information is given to prospects tempting them to buy insurance, or if the insurance given does not cater to the specific needs of the prospect, things go wrong.

The Code of Ethics spelt out by the IRDAI in various regulations are directed towards ethical behaviour. It is not enough just to know the code. What is more important for the insurers and their representatives is to always keep the interests of the prospect/ policy holder as primary.

Characteristics: Some characteristics of ethical behaviour are:

a) Placing the best interests of the client above one's own direct or indirect benefits

b) Holding in strictest confidence and considering as privileged, all business and personal information pertaining to client's affairs

c) Making full and adequate disclosure of all facts to enable clients make informed decisions

There could be a likelihood of ethics being compromised in the following situations:

a) Having to choose between two plans, one giving much less premium or commission than the other

b) Temptation to recommend discontinuance of an existing policy and taking out a new one

c) Being aware of circumstances that, if known to the insurer, could adversely affect the interests of the client or the beneficiaries of the claim.

Test Yourself 5

Which among the following is not a characteristic of ethical behaviour?

I. Making adequate disclosures to enable the clients to make an informed decision
II. Maintaining confidentiality of client's business and personal information
III. Placing self-interest ahead of client's interests
IV. Placing client's interest ahead of self interest

Summary

a) The role of customer service and relationships is far more critical in the case of insurance than in other products.

b) Five major indicators of service quality include reliability, responsiveness, assurance, empathy and tangibles.

c) Customer lifetime value may be defined as the sum of economic benefits that can be derived from building a sound relationship with a customer over a long period of time.

d) The role of an insurance agent in the area of customer service is absolutely critical.

e) Active listening involves paying attention, providing feedback and responding appropriately.

f) Ethical behaviour involves placing the customer's interest before one's own.

Key terms

a) Quality of service

b) Empathy

c) Body language

d) Active listening

e) Ethical behavior

Answers to Test Yourself

Answer 1 -The correct option is III.
Answer 2 - The correct option is III.
Answer 3 - The correct option is IV.
Answer 4 - The correct option is II.
Answer 5 - The correct option is III.